

The complaint

Mr and Mrs P are unhappy with how Legal & General (L&G) categorised their home insurance claim. L&G are now owned by Fairmead Insurance Limited, who are ultimately responsible for this complaint. But for ease, I'll only refer to L&G in the decision.

The full details of this complaint are well known to both parties so I won't repeat them again here. Instead I'll recap the key points and focus on giving the reasons for my decision:

- Following unusually heavy rain in June 2019, water came into Mr and Mrs P's home through the patio doors, damaging some of the flooring. They made a claim on their home insurance, which L&G accepted under the flood peril and a settlement was agreed.
- Mr and Mrs P disagree that the damage was caused by a flood – they say it was caused by a storm. And they're unhappy because having a flood claim has meant that their premiums have increased.
- L&G say that what happened didn't meet the policy's definition of a storm, and that because water entered their home from the ground up, it was a flood.
- I sent my provisional findings on 3 March 2021, which didn't uphold Mr and Mrs P's complaint. While I thought there were storm conditions, I didn't think it was the proximate cause of the damage. That was caused by the build up and ingress of water – so I think L&G acted fairly in saying it was a flood.
- L&G agreed with my provisional findings. Mr and Mrs P didn't. In summary they said:
 - The sheer volume of water from the storm meant the drains couldn't cope. So it was the storm that caused the damage.
 - Despite being right that there were storm conditions, they're now on the flood risk register – meaning extortionate premiums. They think there should be different levels of flood risk and some sort of protected no claims facility for this type of minor flooding.
 - Our investigator based his view on the storm criteria not being met. Also, water didn't just come from the ground up – it would've cascaded over the top from the gutters being overwhelmed too.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having carefully considered Mr and Mrs P's reply, I've not changed my mind about the outcome to this complaint. I'll explain why:

- Mr and Mrs P point out how the volume of water from the storm would've meant the drains couldn't cope. And my provisional findings agreed the storm caused water to build up. But I'm not satisfied that the storm itself caused the damage – that happened because the water built up and flooded that property.
- In other words, the storm led to a flood, which caused the damage. And even if some of the water came from gutters that had been overwhelmed, it remains the case that this would've added to the build-up of water below – which then flooded into Mr and Mrs P's home.
- As I said before, it would be unusual for rainfall, even intense rainfall, to cause damage that's typical of a storm. It's far more common that heavy rainfall will lead to flooding, which is what I believe happened here.
- I note Mr and Mrs P's understandable frustrations about the situation this puts them in. But how insurers determine risk doesn't mean I could reasonably ask L&G to categorise this claim differently, when I think a flood is an accurate reflection of what happened here.
- I've also considered their comments about what our investigator said – and I reassure them I've reviewed everything, including their dealings with our investigator. But as an ombudsman making a final decision, I've carried out my own independent investigation. That's why I sent my provisional findings first, to explain my reasons for not upholding this complaint and to invite further comments.

I realise this means a lot to Mr and Mrs P, but my decision is not to uphold their complaint. For completeness, I've explained my reasoning from my provisional findings again below:

- I agree with Mr and Mrs P that there were storm conditions around the time of the damage. Having reviewed the rain radar reports, I think they're right to say there were localised torrential downpours where they lived – and I consider it likely these would've met L&G's definition of a storm (25mm of rainfall per hour).
- But, to be satisfied that the damage should've been looked at under the storm peril, it's not enough for me to conclude that storm conditions were present. I've also got to be satisfied that the storm, and not a flood, was the proximate cause of the damage to Mr and Mrs P's flooring.
- Here, it seems that the 'storm' caused water to build up – and when it didn't have anywhere to go, it entered Mr and Mrs P's home, causing damage to their flooring.
- That means that the proximate cause of the damage was the build up and ingress of water – or, more naturally put, a flood. It wasn't, for example, that the pressure from the rainfall itself caused damage to Mr and Mrs P's property. Indeed, it would be unusual to see that rainfall alone could cause damage that's typical of a storm.
- It follows that I think the storm was the background *occasion* rather than the dominant and effective *cause*. So I'm satisfied that L&G fairly concluded that this claim should fall under the flood peril.
- I realise this will be disappointing news for Mr and Mrs P. I do understand their frustration that what happened here wasn't how flood claims commonly happen – for example, they don't live near a river which had burst its banks. But what caused the *flood* isn't the material question here – it's what was the proximate cause of the

damage. And for the reasons I've explained, I think it correctly falls under the flood peril.

- Mr and Mrs P say they might not have continued with the claim had they realised it would be looked at as a flood. But from the outset, Mr P refers to flooding and the claims adviser refers to flood damage. So, I don't think they've been misled here.
- In any event, it's difficult to say they wouldn't have proceeded, particularly given that the cash settlement for the flood claim was a significant sum. Moreover, claimed for or not, such damage (and its cause) would always need to be disclosed as a fact material to the risk of covering this property. So there would always be potentially adverse consequences for Mr and Mrs P – e.g. a higher premium.

My final decision

For the reasons I've explained here and in my provisional decision of 3 March 2021, I don't uphold Mr and Mrs P's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs P and Mr P to accept or reject my decision before 8 April 2021.

Emma Szkolar
Ombudsman